

Manhattan Office Rents Are Rising. The Capital Story Is More Complicated.

Record leasing volume and tightening supply mask a market where only the best buildings command pricing power.

The most important number in the second-quarter Manhattan office leasing data is not the \$78.03 per square foot average asking rent. It is the 69 percent share of leasing activity captured by Class A buildings. That number tells the capital story. Rents are rising because the supply of rentable space is shrinking, but the demand that is driving the market is overwhelmingly concentrated in the newest, best-located, and most amenitized towers.

The buildings that can command \$100-plus rents are leasing. The rest of the market is still fighting for tenants, still carrying deferred capital needs, and still facing a refinancing wall that higher average rents will not solve. According to Colliers, Manhattan's average asking rent climbed to \$78.03 in the second quarter, up 5.7 percent year-over-year and the highest since July 2020.

The availability rate fell to 13 percent, the ninth consecutive quarter of decline or stability. Leasing volume hit 11 million square feet in the quarter, and the first half of 2026 totaled 22.8 million square feet, the strongest first-half performance since 2002. Sublet space shrank 22 percent over the past year and is now below pre-pandemic levels. These are genuinely positive demand signals. But they are not uniform signals.

The quarter's three largest leases Simpson Thacher & Bartlett's 916,000-square-foot deal at Extell's 570 Fifth Avenue, L'Oreal's 484,000-square-foot renewal at Related's 10 Hudson Yards, and Cleary Gottlieb's 476,000-square-foot lease at Brookfield's 1 Liberty Plaza are all in trophy or near-trophy assets. The AI sector leased roughly 800,000 square feet in the quarter, surpassing its total for all of 2025, and that space is also flowing to the top of the market.

What this means for capital is straightforward. Lenders underwriting office loans are not looking at the borough-wide average rent. They are looking at the building's rent, its tenant credit, its lease term, and its basis relative to replacement cost. A building that can command \$90 a foot and is 90 percent leased to investment-grade tenants will find debt.

A building that is 75 percent leased at \$55 a foot with a maturing loan will not, regardless of what the market average says. The tightening market is a positive for owners of high-quality assets. It gives them pricing power, leasing momentum, and a refinancing narrative that can work. For owners of Class B and C buildings, the tightening is a headwind.

It means the best tenants are being pulled into the best buildings, leaving a thinner pool of demand for the rest. It means the spread between the top and the bottom of the market is widening, not narrowing. The investment sales data in the Colliers report reinforces this. Manhattan recorded 15 office transactions totaling \$1.4 billion in the second quarter, matching last year's volume.

But the median price dipped to \$50.5 million from \$56 million year-over-year. Volume is stable, but pricing is under pressure. That is consistent with a market where the assets trading are smaller, lower-quality, or carrying more risk. Who benefits from this market? Owners of Class A buildings with long-dated, low-cost debt. They have time, cash flow, and tenant demand. Who is exposed?

Owners of older buildings with near-term maturities, thin leasing, and no basis advantage. They are competing for a shrinking pool of tenants and a shrinking pool of capital. The next thing to watch is not the average rent. It is the spread between Class A and Class B asking rents, the volume of sublet space returning to the market, and the pace of investment sales for non-trophy assets.

If the spread widens further, it will confirm that the tightening market is a bifurcated market. And bifurcated markets do not produce uniform outcomes for capital. Manhattan office is not back. It is repricing, and the repricing is happening one building at a time.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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